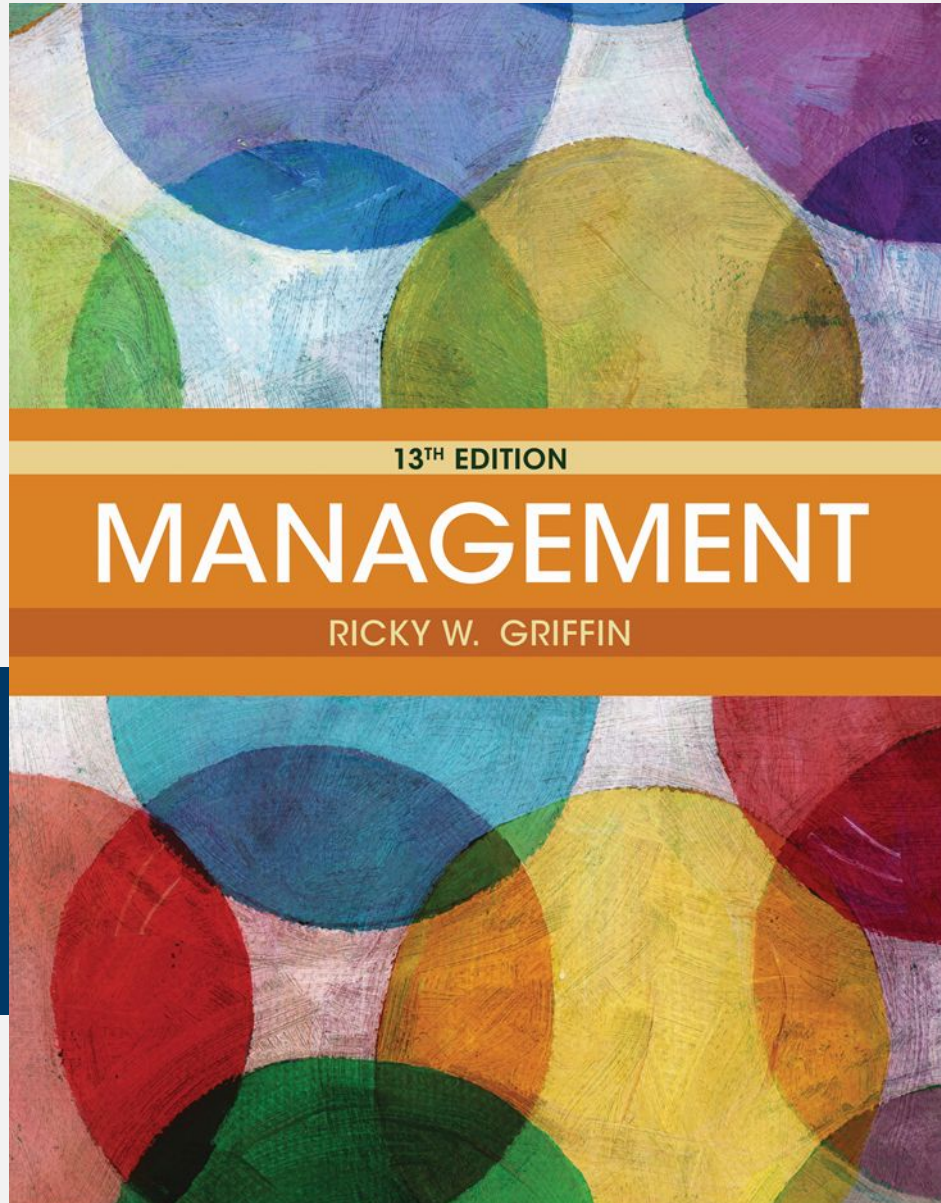




Management

Chapter Two: Traditional and Contemporary Management Perspectives

Warm Up

- What do you view as the biggest issue facing management today? Why? Can you provide examples of the challenges this issue creates for managers?



Learning Objectives (1 of 2)

By the end of this chapter, you should be able to:

2-1: Discuss the importance of history and theory to management and precursors to modern management theory.

2-2: Describe the classical perspective on management, including scientific and administrative management, and its relevance to contemporary managers.

2-3: Describe the behavioral perspective on management, including the Hawthorne studies, human relations movement, and organizational behavior, and its relevance to contemporary managers.



Learning Objectives (2 of 2)

By the end of this chapter, you should be able to:

2-4: Describe the quantitative perspective on management, including management science and operations management, and its relevance to contemporary managers.

2-5: Discuss the systems and contingency approaches to management and their potential for integrating the other areas of management.

2-6: Discuss contemporary management issues and challenges.

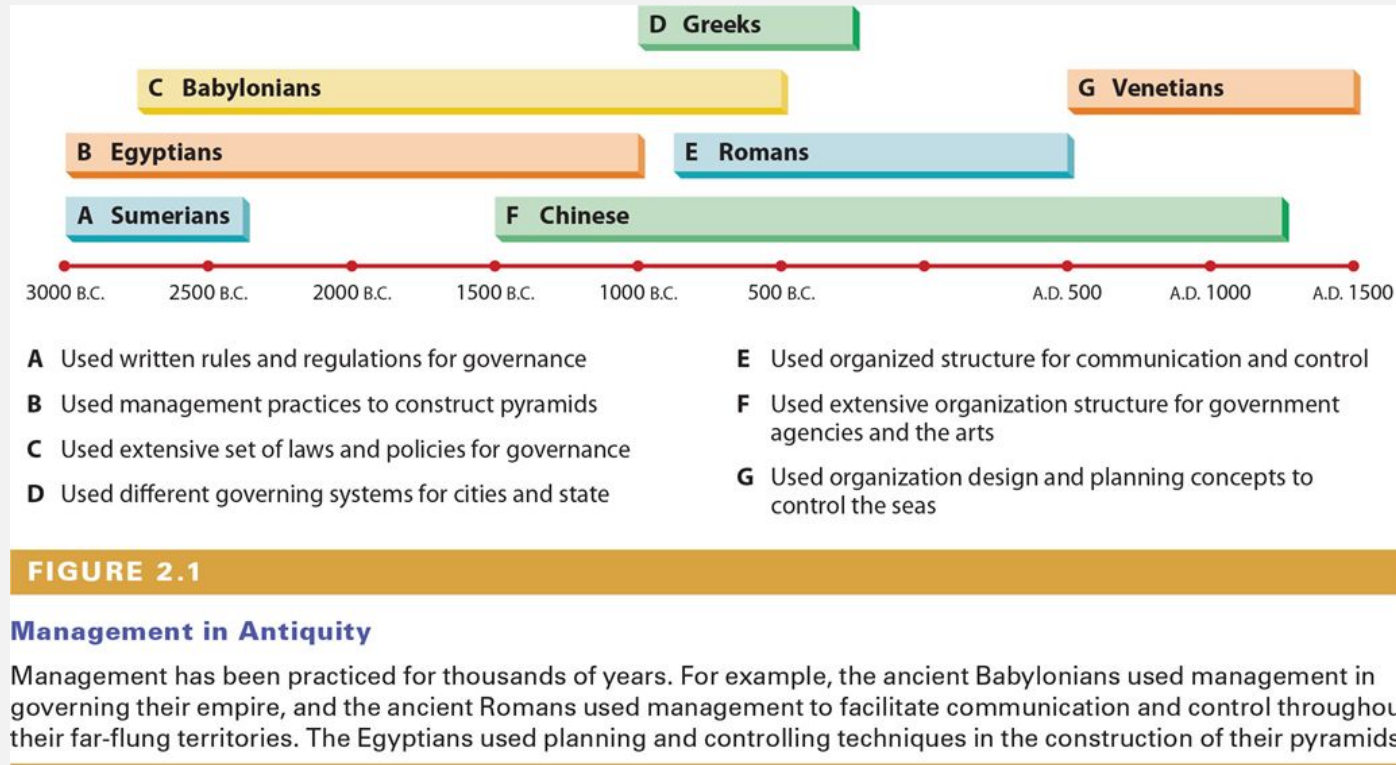


2-1a The Importance of Theory and History

Theory: A conceptual framework for organizing knowledge and providing a blueprint for action

- Management theories are grounded in reality.
 - Theories are used to build organizations and guide them toward their goals.
- Understanding the historical context provides a sense of heritage and helps managers avoid mistakes of others.

Figure 2.1 Management in Antiquity



This simple timeline shows a few of the most important management breakthroughs and practices over the last 4,000 years.

Discussion Question #1

Awareness and understanding of history and historical developments are important to contemporary managers. What is the advantage to those managers who understand the historical context of their industry? Can you identify a contemporary company or industries that promote themselves based on their history?



2-2 Classical Management Perspective

- **Classical management perspective:** Consists of two distinct branches—scientific management and administrative management
- **Scientific management:** Concerned with improving the performance of individual workers
 - **Soldiering:** Employees deliberately working at a slow pace so as not to overproduce
 - Practice was identified by **Frederick Taylor**, one of the best-known contributors to the field
- **Administrative management:** Focuses on managing the total organization

Figure 2.2 Steps in Scientific Management

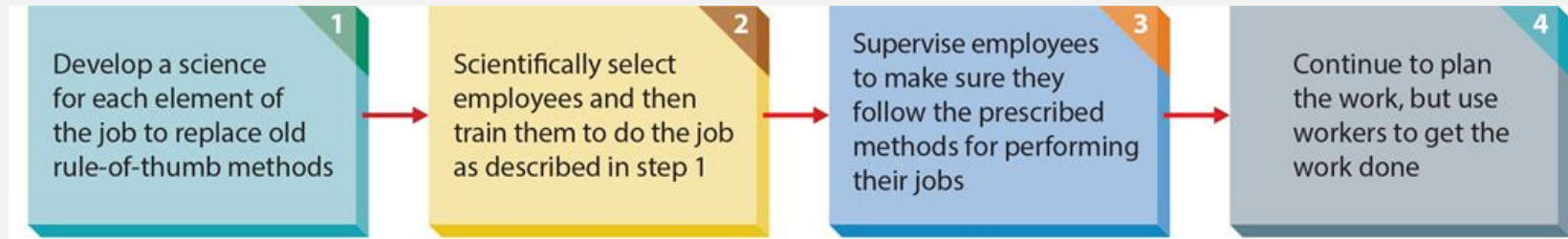


FIGURE 2.2

Steps in Scientific Management

Frederick Taylor developed the system of scientific management, which he believed would lead to a more efficient and productive workforce. Bethlehem Steel was among the first organizations to profit from scientific management. Many companies still use elements of scientific management today.

- Frederick Taylor saw workers soldiering, or deliberately working below their potential. He devised this four-step method to overcome the problem.

Activity #1

- Gantt charts are still a common tool in industry today. Working with a partner, develop a Gantt chart for a large project due in one of your classes. If you have no class projects this semester, develop a Gantt chart for final exams.



2-2c The Classical Management Perspective Today

- **Contributions**

- Laid the foundation for management theory
- Identified key processes, functions, and skills
- Made management a valid subject of study

- **Limitations**

- Best used in simple, stable organizations
- Universal procedures not always appropriate in some settings
- Employees not viewed as resources

Discussion Question #2

Is the classical management perspective still relevant today, given our digital environment? How can contemporary companies apply the theories of classical managements?



Table 2.1 Classical Management Perspective

Table 2.1	The Classical Management Perspective
General Summary	The classical management perspective had two primary thrusts. Scientific management focused on employees within organizations and on ways to improve their productivity. Noted pioneers of scientific management were Frederick Taylor, Frank and Lillian Gilbreth, Henry Gantt, and Harrington Emerson. Administrative management focused on the total organization and on ways to make it more efficient and effective. Prominent administrative management theorists were Henri Fayol, Lyndall Urwick, Max Weber, and Chester Barnard.
Contributions	Laid the foundation for later developments in management theory. Identified important management processes, functions, and skills that are still recognized today. Focused attention on management as a valid subject of scientific inquiry.
Limitations	More appropriate for stable and simple organizations than for today's dynamic and complex organizations. Often prescribed universal procedures that are not appropriate in some settings. Even though some writers (such as Lillian Gilbreth and Chester Barnard) were concerned with the human element, many viewed employees as tools rather than resources.

The limitations of the classical perspective should not be overlooked. These early writers dealt with stable, simple organizations; many organizations today, in contrast, are changing and complex. They also proposed universal guidelines that we now recognize do not fit every organization. Another limitation of the classical management perspective is that it slighted the role of the individual in organizations. This role was much more fully developed by advocates of the behavioral management perspective.

2-3 Behavioral Management Perspective

Behavioral management: Emphasizes individual attitudes and behaviors and group processes

Hawthorne studies:

- Found increased productivity in both the control and experimental group
 - Later attributed to heightened employee morale due to extra attention
 - Later studies identified “**rate busters**” (overproducers) and “**chiselers**” (underproducers)
 - Conclusion: Human behavior was more important in the workplace than previously believed.

2-3a The Human Relations Movement

- **Human relations movement:**
 - Argued that workers respond primarily to the social context of the workplace
 - Stemmed from Hawthorne studies
- **Theory X**
 - A pessimistic and negative view of workers consistent with the views of scientific management
 - People do not like work and try to avoid it.
- **Theory Y**
 - A positive view of workers; represents the assumptions that human relations advocates make.
 - People are internally motivated to reach objectives to which they are committed.

2-3a Theory X Assumptions

1. People do not like work and try to avoid it.
2. People do not like work, so managers have to control, direct, coerce, and threaten employees to get them to work toward organizational goals.
3. People prefer to be directed, to avoid responsibility, and to want security; they have little ambition.

2-3a Theory Y Assumptions (1 of 2)

- People do not naturally dislike work; work is a natural part of their lives.
- People are internally motivated to reach objectives to which they are committed.
- People are committed to goals to the degree that they receive personal rewards when they reach their objectives.

2-3a Theory Y Assumptions (2 of 2)

- People will both seek and accept responsibility under favorable conditions.
- People have the capacity to be innovative in solving organizational problems.
- People are bright, but under most organizational conditions their potential is underutilized.

2-3b The Emergence of Organizational Behavior

- **Organizational behavior:**
 - Contemporary field focusing on behavioral perspectives on management
- Takes a holistic view of behavior and addresses individual, group, and organizational processes
- Draws from a broad interdisciplinary base, including psychology, sociology, anthropology, economics, and medicine

Table 2.3 Behavioral Management Perspective

Table 2.3	The Behavioral Management Perspective
General Summary	The behavioral management perspective focuses on employee behavior in an organizational context. Stimulated by the birth of industrial psychology, the human relations movement supplanted scientific management as the dominant approach to management in the 1930s and 1940s. Prominent contributors to this movement were Elton Mayo, Abraham Maslow, and Douglas McGregor. Organizational behavior, the contemporary outgrowth of the behavioral management perspective, draws from an interdisciplinary base and recognizes the complexities of human behavior in organizational settings.
Contributions	Provided important insights into motivation, group dynamics, and other interpersonal processes in organizations. Focused managerial attention on these same processes. Challenged the view that employees are tools and furthered the belief that employees are valuable resources.
Limitations	The complexity of individual behavior makes prediction of that behavior difficult. Many behavioral concepts have not yet been put to use because some managers are reluctant to adopt them. Contemporary research findings by behavioral scientists are often not communicated to practicing managers in an understandable form.

Discussion Question #3

What are your beliefs? Do you think Theory X or Theory Y applies to most workers? Which applies to you? How can you use these theories to manage those who might work for you?



2-4 Quantitative Management Perspective

- **Quantitative management perspective:**
 - Applies quantitative techniques to management
 - Two branches are management science and operations management
- **Management science:**
 - Focuses specifically on the development of mathematical models
 - **Mathematical model:** A simplified representation of a system, process, or relationship
- **Operations management:**
 - Concerned with helping the organization more efficiently produce its products or services

Table 2.4 Quantitative Management Perspective

Table 2.4	The Quantitative Management Perspective
General Summary	The quantitative management perspective focuses on applying mathematical models and processes to management situations. Management science deals specifically with the development of mathematical models to aid in decision making and problem solving. Operations management focuses more directly on the application of management science to organizations. Management information systems are developed to provide information to managers.
Contributions	Developed sophisticated quantitative techniques to assist in decision making. Application of models has increased our awareness and understanding of complex organizational processes and situations. Has been very useful in the planning and controlling processes.
Limitations	Cannot fully explain or predict the behavior of people in organizations. Mathematical sophistication may come at the expense of other important skills. Models may require unrealistic or unfounded assumptions.

Knowledge Check 1

- Which field would use quantitative management skills today?
 - A. Staffing
 - B. Supply chain
 - C. Executive leadership
 - D. Administration

QUESTION



Knowledge Check 1: Answer

- Which field would use quantitative management skills today?

C. Supply chain

- The quantitative management perspective has made important contributions and has certain limitations. It has provided managers with an abundance of decision-making tools and techniques and has increased understanding of overall organizational processes. It has been particularly useful in the areas of planning and controlling. Relatively new management concepts such as supply chain management and new techniques such as enterprise resource planning evolved from the quantitative management perspective.

ANSWER



2-5b Contingency Perspective

- **Universal perspective:**
 - Tries to identify the “one best way” to do something
 - Includes the classical, behavioral, and quantitative approaches
- **Contingency perspective:**
 - Suggests that appropriate managerial behavior in a given situation depends on, or is contingent on, a wide variety of elements
 - Believes each organization and each situation is unique

Poll 1

Given our experience with COVID-19, changes in technology, and other elements of a rapidly evolving workplace, which management perspective do you feel is most effective in our current work environments?

- A. Classical
- B. Behavioral
- C. Quantitative



Figure 2.4 An Integrative Framework of Management Perspectives

Managers should include a portion of each perspective relevant to their situation and apply them using systems and contingency approaches.

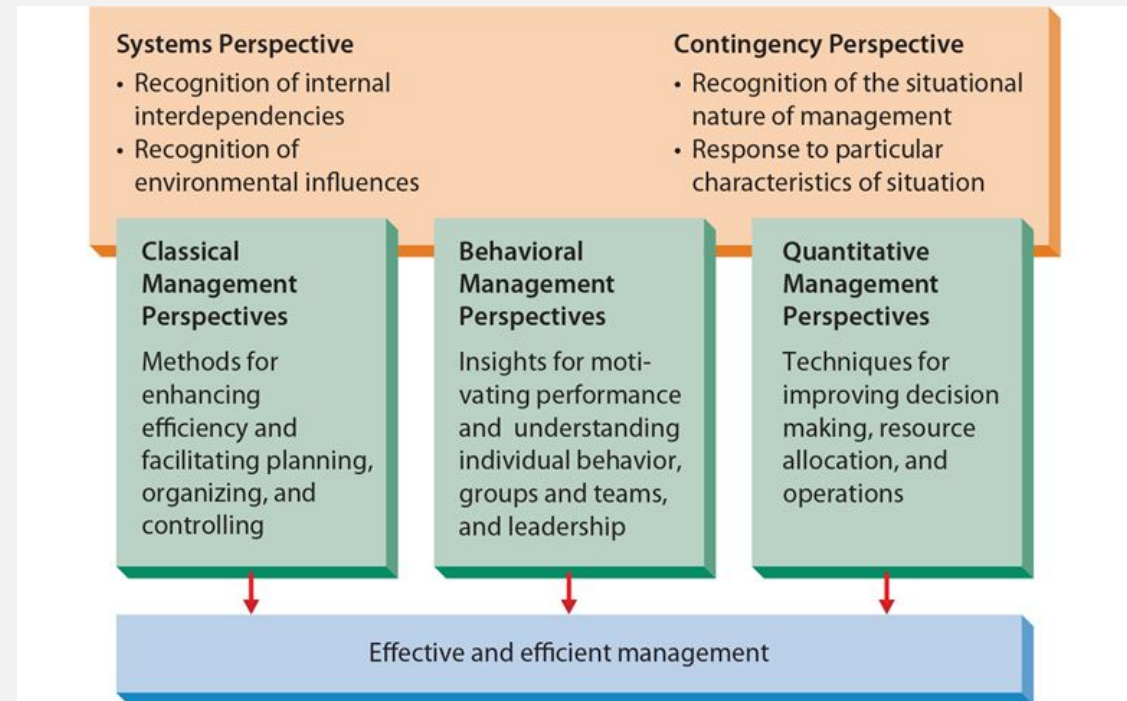


FIGURE 2.4

An Integrative Framework of Management Perspectives

Each of the major perspectives on management can be useful to modern managers. Before using any of them, however, managers should recognize the situational contexts within which they operate. The systems and contingency perspectives serve to integrate the classical, behavioral, and quantitative management perspectives.

2-6a Contemporary Applied Perspectives

- Major publications have had a major impact on the field of organizational behavior and the practice of management include:
 - *Theory Z*
 - *In Search of Excellence*
 - Biographies of successful business leaders
 - Authors such as Peter Senge, Stephen Covey, Tom Peters, Michael Porter, John Kotter, and Gary Hamel
 - Malcolm Gladwell's books
 - Impact of *Dilbert* cartoons

2-6b Contemporary Management Challenges

- An unpredictable economy, limiting growth
- Many challenges presented by globalization
- Ethics and social responsibility in relation to corporate governance
- Quality as the basis for competition, increased productivity, and lower costs
- The shift toward a service economy
- The role and impact of social media

Summary (1 of 2)

Now that the lesson has ended, you will have learned how to:

- Discuss the importance of history and theory to management and precursors to modern management theory.
- Describe the classical perspective on management, including scientific and administrative management, and its relevance to contemporary managers.
- Describe the behavioral perspective on management, including the Hawthorne studies, human relations movement, and organizational behavior, and its relevance to contemporary managers.



Summary (2 of 2)

Now that the lesson has ended, you will have learned how to:

- Describe the quantitative perspective on management, including management science and operations management, and its relevance to contemporary managers.
- Discuss the systems and contingency approaches to management and their potential for integrating the other areas of management.
- Discuss contemporary management issues and challenges.

